Business Management SL · Set A · Paper 2

Question booklet · 90 minutes · 40 marks

Answer every compulsory question and choose one complete Section B option. A calculator is permitted. Use the case evidence and show calculations. Write on separate paper.

Section A · Clayfold Studio [12]

Clayfold sells refillable cups at CU 18 each. The monthly fixed costs of its workshop are CU 18,000. Variable cost is CU 8 per cup. Current monthly sales are 2,400 cups. Capacity is 3,000. A school offers to buy 500 extra cups per month at CU 13 each. These cups would also need packaging costing CU 1 each. Regular selling prices and fixed costs would stay the same.

(a) Define contribution per unit. **[2]**

(b) Calculate the current monthly break-even output and margin of safety in units. **[3]**

(c) Calculate the additional monthly profit from the school order and explain one condition behind the calculation. **[4]**

(d) Explain one risk to Clayfold's regular sales from accepting the discounted order. **[3]**

Section A · Isla Bakery [8]

Isla begins July with CU 4,600 cash. July and August receipts are CU 12,800 and CU 16,500 respectively. Ordinary cash payments are CU 15,100 and CU 14,200. An oven deposit of CU 4,000 is due in July and is additional to those payments.

(a) Construct the two-month cash-flow forecast, showing net cash flow and closing balance for each month. **[4]**

(b) Explain two ways Isla could address the July shortage, including one drawback of each. **[4]**

Section B · Option 1 · Cedar Books [20]

An independent bookshop has annual revenue of CU 200,000, cost of sales of CU 128,000 and other operating expenses of CU 54,000. Its manager proposes paid evening events. Expected event revenue is CU 24,000, with direct costs CU 11,000 and additional operating expenses CU 9,000. Daytime trade is assumed unchanged. Staff say evening transport is unreliable. A survey of 40 current members found 30 interested in talks, but only 12 willing to pay the proposed price.

(a) Calculate the current gross profit margin. **[2]**

(b) Calculate operating profit and operating profit margin if the proposal meets its forecasts. **[4]**

(c) Explain two limitations of the market research for this decision. **[4]**

(d) Evaluate whether Cedar Books should launch regular paid evening events. **[10]**

Section B · Option 2 · Valewood Cycles [20]

Valewood charges CU 60 per repair package. Each package uses CU 24 in parts and paid labour. Its annual fixed costs are CU 72,000 and it sells 2,500 packages. A mobile service would increase fixed costs by CU 18,000, keep the same unit costs and prices and bring in an estimated 650 additional packages. Two mechanics would alternate between the workshop and the van. Survey responses came from an online cycling club.

(a) Calculate Valewood's current annual profit. **[2]**

(b) Calculate the extra packages needed to cover the extra fixed costs and the annual change in profit if the forecast is correct. **[4]**

(c) Explain two non-financial factors affecting the reliability of the forecast. **[4]**

(d) Discuss whether Valewood should introduce the mobile service. **[10]**

End of question booklet · 40 marks